Mod Alpha — Subscription upgrade, downgrade and cancellation rules

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One rule decides every plan change: **a change that gives the customer more starts now and is charged now; a change that gives them less starts at the next renewal and is never refunded.** This keeps bills simple and avoids refunds in almost every case.

Plans and prices

All prices include 18% GST. The yearly price is 20% off the monthly price.

Plan	Monthly (₹)	Quarterly (₹)	Yearly (₹)
Free	0	0	0
Pro	299	897	2,868
Premium	499	1,497	4,788

Plan order, low to high: Free → Pro → Premium. For billing cycles, a longer cycle counts as "more": Monthly → Quarterly → Yearly.

Every plan change at a glance

Change	Takes effect	Charged now	New document
Free → Pro or Premium	Immediately	Full price of the cycle	Tax invoice
Upgrade (Pro → Premium)	Immediately	Only the difference for the days left	Tax invoice for the difference
Longer cycle (Monthly → Quarterly or Yearly)	Immediately	New cycle price minus credit for unused days	Tax invoice
Downgrade (Premium → Pro)	At the next renewal	Nothing	None now; the next renewal invoice is at the lower price

Change	Takes effect	Charged now	New document
Shorter cycle (Yearly → Monthly)	When the current cycle ends	Nothing	None now
Paid → Free	When the current cycle ends	Nothing	None
Cancel	When the current cycle ends; full access until then	Nothing	None
Undo a scheduled change or cancellation	Immediately	Nothing	None
Refund (exception only)	Immediately	Money returned	Credit note linked to the original invoice
Price increase by Mod Alpha	At each customer's next renewal	Nothing	Notice 30 days before

Upgrades

An upgrade starts the moment payment succeeds, and the customer pays only for the days left in the current cycle.

1. The customer sees a preview before paying, for example: "You pay ₹100 today, then ₹499 a month from 25 Nov."
2. Unused days of the old plan become a credit; the new plan is charged for the same days.
3. The renewal date does not change. The next renewal is a full invoice at the new plan's price.
4. The new plan's features unlock as soon as payment succeeds. If payment fails, nothing changes.
5. Days are counted in whole days, in India time, and amounts are rounded to the paisa.

Charge now = (New price − Old price) × Days left ÷ Days in cycle

Worked example. Pro monthly (₹299) to Premium monthly (₹499), with 15 of 30 days left:

Line	Amount (₹, incl. GST)
Premium for 15 days: 499 × 15/30	249.50

Line	Amount (₹, incl. GST)
Credit for unused Pro days: 299 × 15/30	−149.50
Charged today	**100.00**
of which taxable value	84.75
of which GST at 18%	15.25

The invoice line reads "Upgrade Pro → Premium, 10 Nov – 24 Nov 2026". A cycle change works the same way: a Pro monthly customer with 10 of 30 days left who moves to Pro yearly pays ₹2,868 − (299 × 10/30) = ₹2,768.33, and a new 12-month cycle starts that day.

A customer on Free who buys a plan pays the full price of the chosen cycle; the cycle starts that day.

Downgrades and shorter cycles

A downgrade is scheduled for the next renewal date; the customer keeps everything they paid for until then and gets no refund.

- The Subscription page shows a banner: "Changes to Pro on 25 Nov · Undo". Undo is free until that date.
- On the renewal date the lower plan starts and is charged at its own price, with its own invoice.
- Yearly → Monthly (or Quarterly) follows the same rule: the yearly cycle runs to its end, then monthly billing starts.
- If the lower plan has smaller limits (for example AI questions a day), the new limits apply from the renewal date. Saved data such as the watchlist is kept; anything over a limit is hidden, not deleted.
- Choosing a downgrade while an upgrade payment is pending is not allowed; the customer waits for the payment result first.

Cancellation

Cancelling stops the next renewal; the customer keeps full access until the end of the period they paid for, then moves to Free.

- Before cancelling, the customer answers a one-question survey (too expensive, not using it, missing a feature, found an alternative, temporary break, other) with an optional comment.

- The automatic-payment mandate in Razorpay is cancelled at the same time, so no further debit can happen.
- Until the end date, a banner shows "Your Premium plan ends on 18 Nov" with a **Keep my plan** button that undoes the cancellation at no charge.
- After the end date: features drop to Free; the watchlist, settings and invoices stay. Coming back later starts a new paid cycle at the current price.
- An email confirms the cancellation and its end date.

Refunds

There are no refunds for unused days after a cancellation or downgrade. Refunds are made only in these cases:

Case	Refund	How
Charged twice for the same period	Full duplicate amount	Automatic once found, credit note
Charged after the customer cancelled (our error)	Full amount of that charge	Credit note
Service unavailable for a long period	Pro-rata for the affected days, at admin's discretion	Credit note
First payment, within 7 days (optional, to be decided)	Full amount	Credit note; plan moves to Free at once

Refunds go back to the original payment method through Razorpay, usually within 5–7 working days. Only a super admin can issue one, and every refund is recorded in the audit log.

Failed renewals and the 7-day grace period

If a renewal payment fails, the customer keeps their plan for 7 more days to pay; after that they move to Free.

1. The renewal charge fails (insufficient balance, expired card, mandate revoked). The subscription becomes **Past due**.
2. The customer gets an email and SMS, and a red banner: "Your renewal payment didn't go through. Pay by 13 Nov to keep Pro." with a **Retry payment** button.
3. During the 7 days everything keeps working, and the customer can retry with any payment method.

4. Paid within 7 days: the plan continues from the original renewal date, so the next renewal date does not move. One tax invoice is issued for the payment.
5. Not paid after 7 days: the plan moves to Free. No invoice is issued, and nothing is owed for the grace days.

GST invoices and credit notes

Every charge gets its own tax invoice, and every refund gets a credit note; an issued invoice is never edited or deleted.

- **Invoice for each charge**: first purchase, upgrade difference, cycle change and each renewal. Numbers run in one sequence per financial year (April–March).
- **Tax split**: prices include GST, so the taxable value is worked back from the total (total ÷ 1.18). CGST 9% + SGST 9% when the customer is in the same state as Mod Alpha's registered office; IGST 18% otherwise. The customer's GSTIN is printed when they give one.
- **Credit note for each refund** (CGST Act section 34): its own number series, a reference to the original invoice number and date, the refunded amount and the GST reversed. It reduces the GST Mod Alpha owes for that month.
- **Deadline**: a credit note for a financial year must be issued by 30 November after that year ends, or the GST can no longer be reduced.
- **No document** for a cancellation or downgrade without a refund, or for a grace period that ends unpaid.
- Invoices and credit notes are shown in Billing history and can be downloaded as PDF.

Automatic payments and price changes

Renewals run on a UPI Autopay or card mandate set up through Razorpay, and RBI rules for recurring payments apply.

- **Pre-debit notice**: the customer is notified at least 24 hours before every automatic charge, with the amount and date. Razorpay Subscriptions sends this.
- **New approval**: an upgrade or cycle change changes the amount, so the customer approves once more (UPI PIN or card OTP). Any single charge above ₹15,000 always needs this approval.
- **Easy cancellation**: cancelling in Mod Alpha also cancels the mandate. The customer can also cancel it from their UPI app or bank.
- **Price increases**: existing customers keep their current price until their next renewal and get an email at least 30 days before the new price applies. Price cuts apply to everyone from their next renewal.

- **Earlier prices** stay on record: each plan price change is saved as a new version, and every invoice shows the price that applied on its date.

What the product does today

Cancellation and the grace period already follow these rules; upgrades, downgrades and credit notes do not yet.

Rule	Status	Today in Mod Alpha
Cancel at end of period, survey, Keep my plan	Built	Works as described
7-day grace period with Retry payment	Built	Works as described
Tax invoice for every payment (CGST/SGST or IGST)	Built	Works as described
Price changes saved as versions	Built	Works as described
Upgrade charges only the difference	To build	Charges the full new price and replaces the plan at once
Downgrade at next renewal, with Undo	To build	Takes effect at once, no credit
Refunds with a credit note	Partly built	Admin refunds through Razorpay; no credit note is issued
Pre-debit notice and mandate re-approval	To build	Needs Razorpay Subscriptions live (stage uses mock payments)
30-day notice of a price increase	To build	Not sent

Decisions to confirm with the CA

- [ ] Offer a 7-day full refund on the first payment, or no refunds except errors?
- [ ] SAC code for the service (997156 is set as a placeholder).
- [ ] Credit note number format and series.
- [ ] Pro-rata refund rule when the service is down for a long period.